

SEMESTER TWO EXAMINATION 2025

HRD 305: ENTREPRENEURSHIP FOR SMALL BUSINESS

INSTRUCTIONS: Answer Question ONE and any other **THREE** questions

QUESTION ONE (25 Marks)

Case study;

Read the case on "Need Help with product Development.iConsider Establishing a customer Advisory Board"

Although most firms that have a customer advisory board set them up after their firm is started, primarily to assess customer satisfaction and brainstorm new product ideas. Customer advisory boards can be useful before a firm has customers as well. An example of a firm that did this is iConclude, an IT solutions company that was recently acquired by Opsware(www.opsware.com).iConclude was founded to help other companies troubleshoot mission critical software and hardware problems, but when it came to producing an actual product, the company was not exactly sure what its products should look like. To make certain it did not stumble and produce a product that was not what its clients needed, the company decided to form a customer advisory board to dig deep in to its future customers problems and discern the exact features its product should include. Reflecting on the nature of customer advisory board that was set up, and what the effort accomplished, Sunny Gupta, iConcludes founder, recalls:

We were very upfront with all the companies we spoke with. We realized we needed real customer input in order for us to form a customer advisory board of 7 to 8 of these (firms with large IT departments) companies mostly out Seattle .They met with us every second week and really tried to hone down on exactly what their problems were and what could be the ideal solution from their perspective.

This got them on board much earlier with us which was pretty instrumental because we identified real requirements which enabled us to build the right product."

Ultimately, iConclude built a successful product and was acquired shortly after by a much larger firm.

Required;

- i why do you think iConclude was able to persuade other companies to serve on its customer advisory board (4 marks)
- ii What insight or insights do you believe that iConclude gained by assembling a customer advisory board before rather than after its product was fully developed? (4marks)
- iii What benefit other than getting good quality advice, did you conclude glean from putting together a customer advisory board. (4 marks)

How do you think iConclude utilized its customer advisory board after its product was launched?(
4marks)

- b) What is the justification of analyzing new venture team for start-up? (3 marks)
- c) Explain the value of a business plan to a start-up? (3marks)
- d) Analyse **FIVE** major causes of a new product failure in the market. (3 marks)

QUESTION TWO (15 Marks)

- a) Using relevant examples, explain **FIVE** aspects of cultural diversity in entrepreneurship (5 Marks)
- b) Discuss any **FIVE** perspectives of entrepreneurship that draw from the definition of the concept (5Marks)
- c) Explain **FIVE** main reasons why most new venture need funding (5 Marks)

QUESTION THREE (15 Marks)

- a) Explain how ^{you} could undertake Feasibility, viability and desirability of your design solution (5 Marks)
- b) Every small business must select a legal of ownership. However, one need to consider several factors. Discuss (6Marks)
- c) Explain **FOUR** qualities of a viable business opportunity (4 Marks)

QUESTION FOUR (15 Marks)

- a) Explain the types of skills required by entrepreneurs in execution of their entrepreneurial activities (5 Marks)
- a) Discuss **FIVE** features of Schumpeter's Theory of entrepreneurship and innovation (5Marks)
- b) Explain **FIVE** ways that Kenyan government can promote female entrepreneurship (5Mark)